

# Japan's AI Regulatory Approach: JICSS Talking Points Memo

## Current Regulatory Framework

### Soft Law Approach vs. Hard Regulation

- Japan currently has no comprehensive AI-specific laws but relies on a "soft law" approach using non-binding guidelines and voluntary industry compliance<sup>1</sup>
- The "AI Guidelines for Business Ver1.0" (released jointly by MIC and METI, April 2024) serves as the primary framework, consolidating three previous guidelines<sup>2</sup>
- Existing sectoral laws (Copyright Act, amended January 2019; Unfair Competition Prevention Law, revised July 2019; Personal Information Protection Law) address AI-related risks indirectly
- Japan is currently considering potential new legislation, with discussions ongoing through the AI Strategy Council (established May 2023) and AI Institutional Research Group (formed July 2024)<sup>3</sup>

### Key Principles and Guidelines

- "Human-centric AI Principles" (published by the Japanese government, 2019) focused on dignity, diversity, inclusion, and sustainability<sup>4</sup>
- Risk-based approach emphasizing voluntary efforts by businesses, articulated in the "Tentative Discussion Paper on AI" (May 2023)<sup>5</sup>
- "Agile governance" model where stakeholders continuously review and adapt systems, as defined in Guidelines p.26
- International alignment through the G7 "Hiroshima AI Process" (initiated May 2023) and OECD AI Principles<sup>6</sup>

## Distinctive Features Benefiting AI Development

### Copyright Law Exception for AI Training

- Japan's Copyright Act contains a critical "information analysis" exception (Article 30-4, introduced January 2019)<sup>7</sup>

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<sup>1</sup>White & Case, "AI Watch: Global regulatory tracker - Japan," July 2024

<sup>2</sup>MIC and METI, "AI Guidelines for Business Ver1.0," April 2024

<sup>3</sup>GR Japan, "Japan's AI Governance: An Overview of Current Policies and Future Possible Regulations," November 2024

<sup>4</sup>Japanese government, "Social Principles of Human-Centric AI," 2019

<sup>5</sup>AI Strategy Council, "Tentative Discussion Paper on AI," May 2023

<sup>6</sup>G7 Hiroshima Summit, "Hiroshima AI Process," May 2023

<sup>7</sup>Agency for Cultural Affairs, "General Understanding on AI and Copyright in Japan," March 2024

- Allows mass use of copyrighted text for AI training without permission, creating a significant competitive advantage according to NRI researcher Ryoji Kashiwagi (September 2024)<sup>8</sup>
- Lowers barriers to entry for AI developers by enabling comprehensive analysis of content
- Balanced approach: strict enforcement against copyright infringement by AI outputs, clarified in "General Understanding on AI and Copyright in Japan" (March 2024)

## IP Protection Framework

- Cabinet Office's "Study Group on Intellectual Property Rights in the AI Era" published Interim Report (May 2024)<sup>9</sup>
- "General Understanding on AI and Copyright in Japan" by Agency for Cultural Affairs (March 2024) clarifies copyrightability of AI-generated works
- Promotes ecosystem where AI advancement and IP protection can coexist through "appropriate combination of law, technology, and contracts" (Interim Report on IP)

## Business-Friendly Implementation

- Emphasis on voluntary risk mitigation rather than strict legal mandates, confirmed by Digital Transformation Minister Masaaki Taira (October 2024)<sup>10</sup>
- Clear guidelines through MIC and METI help businesses understand expectations
- Government provided model contracts for AI-related transactions through METI and Japan Patent Office
- Focus on practical implementation guidance rather than broad prohibitions

## Comparison with Other Jurisdictions

### EU Approach

- EU AI Act (entered into force August 1, 2024) imposes stringent regulations with significant fines (up to €30M or 6% of global annual turnover)<sup>11</sup>
- Risk-based classification with strict requirements for high-risk AI systems
- Some companies (Apple in June 2023, Meta in July 2023) have delayed AI feature launches in EU due to regulatory concerns

### US Approach

- Historically less regulated, with changing landscape under different administrations
- Focus on voluntary commitments from major AI companies (July 2023)
- Emerging copyright litigation shaping boundaries (Thomson Reuters v. Ross Intelligence, February 2025)<sup>12</sup>

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<sup>8</sup>Ryoji Kashiwagi, "Advantage of Japanese approach to AI regulation," Nomura Research Institute, September 2024

<sup>9</sup>Cabinet Office, "Interim Report of the Study Group on Intellectual Property Rights in the AI Era," May 2024

<sup>10</sup>Digital Transformation Minister Masaaki Taira, policy speech, October 2024

<sup>11</sup>European Commission, "AI Act," August 2024

<sup>12</sup>WIRED, "Thomson Reuters Wins First Major AI Copyright Case in the US," February 2025

# Future Outlook

## Potential Regulatory Changes

- Discussions underway through AI Institutional Research Group for more formal regulations with interim report expected Autumn 2024
- Liberal Democratic Party proposed "Basic Law for the Promotion of Responsible AI" (February 2024) that would designate certain AI developers for special obligations<sup>13</sup>
- Any future regulation likely to maintain balance between innovation and safety according to PM Ishiba's policy speech (October 2024)

## International Collaboration

- Japan actively participating in global AI governance frameworks (G7, OECD)
- Positioning as bridge between different regulatory philosophies per CSIS analysis (February 2025)<sup>14</sup>
- Commitment to international interoperability of AI rules

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<sup>13</sup>LDP Project Team on AI Evolution and Implementation, "Basic Law for the Promotion of Responsible AI," February 2024

<sup>14</sup>Hiroki Habuka, "New Government Policy Shows Japan Favors a Light Touch for AI Regulation," CSIS, February 2025